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CHALLENGER v. BLANKENSHIP, et al
CU25-09577

Demurrer by Defendant ARTHUR EARL BLANKENSHIP to Plaintiff's Complaint

TENTATIVE RULING

The demurrer filed by Defendant ARTHUR EARL BLANKENSHIP ("ARTHUR", to differentiate him from another defendant with the same last name), also filed on behalf of named Defendant the Revocable Trust of Arthur Earl Blankenship (the "Trust"), is sustained as to all causes of action, for both uncertainty and failure to state a cause of action.

More specifically:

Actions seeking recovery against trust assets must be brought against the trustee in the trustee's representative capacity. Probate Code §18004.

See also Green v. Cent. Mortg. Co. (N.D.Cal. 2015) 148 F.Supp.3d 852, 864 ["In California, a trust is not a legal entity and has no capacity to sue or be sued"].

The demurrer filed on behalf of the Trust is therefore sustained, without leave to amend.

As to defendant ARTHUR, as both an individual and trustee of the Trust:

1st cause of action for dependent adult (financial) abuse

The facts to support a statutorily-based cause of action must generally be pled with particularity. Carter v. Prime Healthcare Paradise Valley LLC (2011) 198 Cal.App.4th 396, 407 [elder neglect cause of action, which like financial elder abuse, is statutory in nature].

Plaintiff's complaint admits she was receiving and relying upon "vital Social Security disability benefits" for her survival. General allegations regarding ARTHUR's involvement in directing the creation by another defendant, THOMAS KABRICK PORTA ("PORTA") of a Special Needs Trust ("SNT") for assets Plaintiff had acquired allege only that this was "wrongful" or "fraudulent", and fail to allege specific facts necessary to support a dependent adult financial abuse cause of action.

PORTA also had sole and absolute discretion in determining what disbursements were to be made on behalf of the beneficiary.

In its most basic sense, a special needs trust (SNT) is a trust in which the trustee has sole and absolute discretion about the kind of disbursements to be made. As

such, the administration of an SNT is, in many ways, no different from the administration of a trust for a minor, a spendthrift, or anyone else who cannot make decisions about the use of funds held on their behalf. The trustee must invest the assets, maintain liquidity, collect receipts, decide which kind of disbursements to make (and make them), and keep the books. 2 Special Needs Trusts: Planning, Drafting and Administration (CEB June 2024 Updated) §15.1, pp. 15-2 and 15-3.

The other allegations in the complaint are likewise conclusory and/or uncertain as to what ARTHUR did that constituted wrongful or fraudulent conduct.

2nd cause of action for breach of fiduciary duty

“The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach.” Knox v. Dean (2012) 205 Cal.App.4th 417, 432.

A fiduciary relationship is either imposed by law or undertaken by agreement. Oakland Raiders v. National Football League (2005) 131 Cal.App.4th 621, 632.

Plaintiff’s complaint does not allege any basis for a fiduciary relationship on the part of ARTHUR towards her.

Plaintiff’s opposition claimed that the “aiding and abetting” allegations against ARTHUR put him on liability for the acts of PORTA.

As trustee of the SNT created for Plaintiff, PORTA would have had some fiduciary duties to Plaintiff. But the specifics of the alleged violation(s) of such duties are missing from the complaint.

3rd cause of action for civil conspiracy

“Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration.” Applied Equipment Corp. v. Litton Saudi Arabia Ltd. (1994) 7 Cal.4th 503, 510-511.

Plaintiff’s opposition conceded that civil conspiracy is not an independent tort (i.e., not a separate cause of action).

Even if viewed only in conjunction with the other pled causes of action, insofar as the alleged conspiracy involved a breach by PORTA of his fiduciary duties as a trustee of the SNT, civil conspiracy is not a theory that can be used against a party such as ARTHUR, who had no fiduciary duty to Plaintiff.

Civil conspiracy is “a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration. [Citation.] By participation in a civil conspiracy, a coconspirator effectively adopts as his or her own the torts of other coconspirators within the ambit of the conspiracy. [Citation.] In this way, a coconspirator incurs tort liability co-equal with the immediate tortfeasors.” (Applied Equipment Corp. v. Litton Saudi Arabia Ltd., supra, 7 Cal.4th at pp. 510–511.) “By its nature, tort liability arising from conspiracy presupposes that the coconspirator is legally capable of committing the tort, i.e., that he or she owes a duty to plaintiff recognized by law and is potentially subject to liability for breach of that duty.” (Id. at p. 511.) Following Applied Equipment Corp., this court held in Kidron v. Movie Acquisition Corp. (1995) 40 Cal.App.4th 1571 [47 Cal. Rptr. 2d 752] that “[a] nonfiduciary cannot conspire to breach a duty owed only by a fiduciary.” (Id. at p. 1597; accord, Everest Investors 8 v. Whitehall Real Estate Limited Partnership XI (2002) 100 Cal.App.4th 1102, 1109 [123 Cal. Rptr. 2d 297].) American Master Lease LLC v. Idanta Partners, Ltd. (2014) 225 Cal.App.4th 1451, 1473-1474.

In addition, “A conspiracy generally requires agreement plus an overt act causing damage.” Id. at 1474.

Plaintiff’s complaint alleged no specific overt act by ARTHUR that caused her damage.

4th cause of action for conversion

The elements of a conversion cause of action are “(1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages.” Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.

The complaint alleges only in vague and conclusory terms the conversion of an inheritance, even as it acknowledges that the inheritance funded the SNT. This is insufficient to sufficiently allege conversion by a wrongful act or disposition of property rights.

5th cause of action for intentional infliction of emotional distress

The elements of an intentional infliction of emotional distress cause of action include extreme and outrageous conduct by the defendant causing severe emotional distress. Hughes v. Pair (2009) 46 Cal.4th 1035, 1050-1051 (superseded by statute on other grounds, as stated in *Wawrzenski v. United Airlines, Inc.* (2024) 106 Cal.App.5th 663, 699).

There is no bright-line test for outrageousness, which is dependent on the total circumstances, but sometimes it can be determined as a matter of law at the pleading stage.

There is no bright line standard for judging outrageous conduct and " . . . its generality hazards a case-by-case appraisal of conduct filtered through the prism of the appraiser's values, sensitivity threshold, and standards of civility. The process evoked by the test appears to be more intuitive than analytical . . . ' [Citation.]" (KOVR-TV, supra, 31 Cal. App. 4th at p. 1028.) Even so, the appellate courts have affirmed orders which sustained demurrers on the ground that the defendant's alleged conduct was not sufficiently outrageous. (See, e.g., Ankeny v. Lockheed Missiles & Space Co. (1979) 88 Cal. App. 3d 531, 536-537 [151 Cal. Rptr. 828].) Id. at 494.

The vague and conclusory allegations against ARTHUR fail to allege sufficiently outrageous conduct to support this cause of action.

6th cause of action for assault and battery

The elements of assault and battery are similar, although assault is more of an attempted or threatened battery. Both require non-consensual threatened (assault) or actual (battery) touching, that would have caused a reasonable person to be offended and that the plaintiff was harmed. So v. Shin (2013) 212 Cal.App.4th 652, 668-669.

Plaintiff's complaint contains general allegations that ARTHUR committed "physical assaults and an attempted sexual assault", but provided no dates or circumstances for any of the alleged assaults and/or batteries.

Plaintiff's opposition requested "leave to amend to provide additional specificity regarding the dates, locations, and circumstances of the physical and sexual assaults", while at the same time claiming that because she is a dependent adult with disabilities, traumatized by the assaults, "requiring her to plead with greater specificity at this stage would be unjust".

A defendant accused of assault and/or battery is entitled to some information to identify the alleged assaults, including dates, locations and circumstances.

7th cause of action for fraudulent concealment

The elements of a cause of action for fraudulent concealment include concealment by a defendant with a duty to disclose material facts to the plaintiff. Hambrick v. Healthcare Partners Medical Group, Inc. (2015) 238 Cal.App.4th 124, 162.

As is required for any fraud-based cause of action, the elements of a cause of action for fraudulent concealment must be pled with specificity. Linear Technology Corp. v. Applied Materials, Inc. (2007) 152 Cal.App.4th 115, 132.

The duty to disclose element of fraudulent concealment often arises out of a fiduciary relationship between the plaintiff and defendant. Doe v. Superior Court (2015) 237 Cal.App.4th 239, 244.

Plaintiff's complaint does not plead any specific facts supporting a fiduciary relationship on the part of ARTHUR. All it contains are conclusory allegations, largely regarding the actions of PORTA, which aside from the conclusory labels prescribed by Plaintiff are not necessarily inconsistent with his duties as trustee of the SNT, and thus may not even constitute violations of PORTA's fiduciary relationship with Plaintiff.

The demurrer by ARTHUR to Plaintiff's (initial) complaint is therefore sustained as to all of these causes of action, with leave to amend as to all but the 2nd cause of action for breach of fiduciary duty and the 3rd cause of action for civil conspiracy, but also subject to another concern the court has with this litigation, discussed in detail below.

In general, while most adults have capacity to bring a lawsuit, a person who lacks legal capacity to make decisions or one for which a conservator has been appointed does not. Instead, such a person can appear in a civil action only by a conservator or a guardian ad litem. C.C.P. §372(a)(1).

Subsection (a)(2)(A) gives the court authority to appoint a guardian ad litem for an adult "who lacks capacity to make decisions" when the judge deems it "expedient" to do so.

A guardian ad litem may be appointed in any case when it is deemed by the court in which the action or proceeding is prosecuted, or by a judge thereof, expedient to appoint a guardian ad litem to represent the minor, person who lacks legal capacity to make decisions, or person for whom a conservator has been appointed, notwithstanding that the person may have a guardian or conservator of the estate and may have appeared by the guardian or conservator of the estate.

A "dependent adult" may not always "lack capacity to make decisions". However, there is some evidence already before the court that suggests that Plaintiff may qualify as both, and thus may require the assistance of another to properly pursue her claims.

The court notes that Plaintiff's sister Rachele Eschenburg filed a declaration in a different case, one filed by PORTA, Case No. pr26-000242 to be relieved from his position as successor trustee to the SNT. Eschenburg's declaration was as a proposed guardian ad litem, because Plaintiff "is a dependent adult who needs assistance navigating complex multi-case litigation", who although "capable of making decisions about her life" still "requires support in managing the procedural and administrative demands of this legal